



US Economic Weekly

Global Markets Research

26 June 2026

Economics - North America

Payrolls take a breather

- We expect *job gains decelerated to 70k in June*, primarily due to the waning impact of some temporary factors that boosted May's payrolls. Overall, we still believe that the labor market remains resilient, which is likely to keep the Fed focused on inflation.
- We expect Chair Warsh will repeat his June FOMC comments at the ECB's Sintra forum and is unlikely to break any new ground, but one key aspect to watch is how he describes recent developments in the Middle East and energy prices.
- Data released this week suggests growth remains resilient. Real personal spending growth accelerated in May, despite Iran war-related uncertainty, while the durable goods report points to broad based business investment.

Job gains likely slowed in June

We expect *headline NFP growth slowed to 70k in June*, slightly below the year-to-date average. Some reversal in the noisy factors that boosted the May print points to a deceleration in June, but overall we believe that the labor market remains resilient.

Lead indicators have remained modestly positive, with few signs of stress in the labor market. Weekly ADP data have slowed from its peak, but continue to point to solid employment growth in the private sector and continuing claims rose through the June NFP survey reference week (Fig. 1). Survey data have been mixed, with flash PMIs pointing to some softening, while regional surveys suggest modest improvement.

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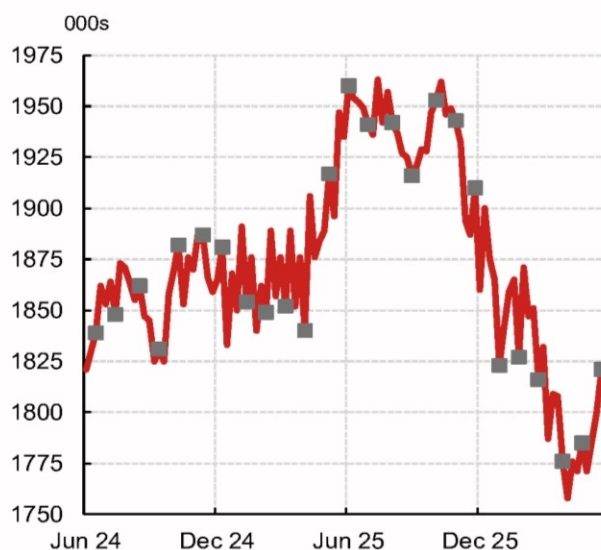
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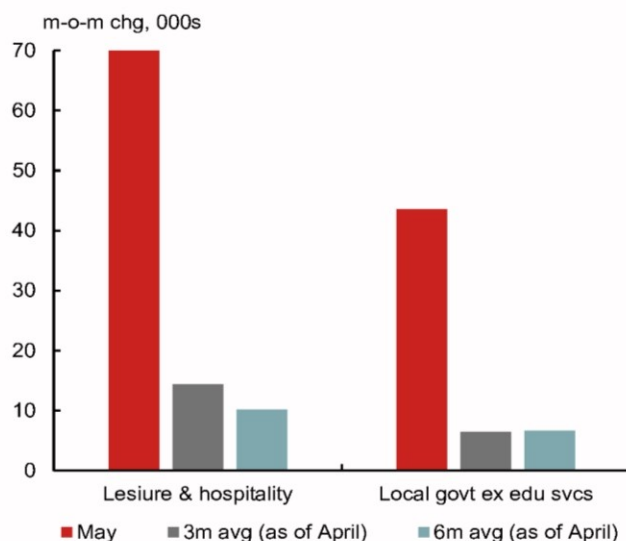
Fig. 1: Continuing jobless rose through the June NFP survey reference week



Note: Markers refer to NFP survey reference week
Source: DOL, BLS, Haver, Nomura

Fig. 2: Outsized employment gains in some sectors boosted the May print, and is likely to reverse in June

Employment indices of national and regional service surveys



Source: BLS, Haver, Nomura

Despite these relatively constructive signals, we expect payroll gains slowed in June. NFP has been a positive outlier in recent months, supported in part by temporary factors (Fig. 2). The pace of job gains in leisure and hospitality, likely reflecting FIFA World Cup-related hiring and noisy seasonals, appears unsustainable and likely unwound in the

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month. In addition, the outsized increase in local government employment in May, which pushed government job gains to their strongest monthly pace since July 2024, is likely to fade.

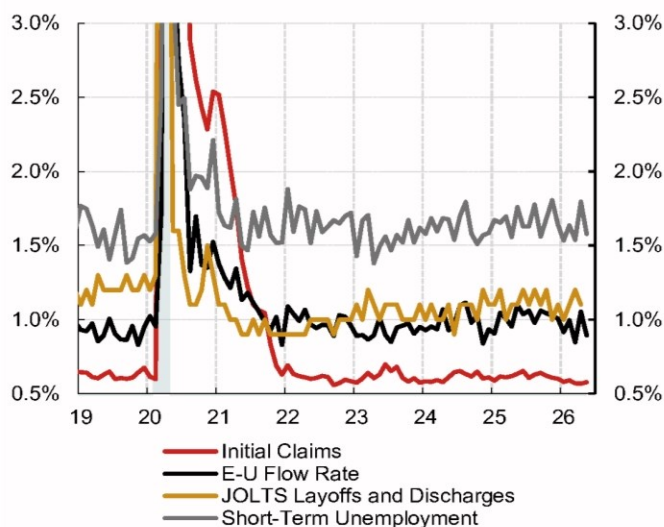
We expect the unemployment rate ticked up slightly, but remained unchanged on a rounded basis at 4.3% in June. Measures of layoffs have remained subdued lately (*Fig. 3*), while labor demand seems to be stabilizing following a downtrend in 2025.

We expect average hourly earnings (AHE) growth slowed to 0.2% m-o-m in June.

Alternative wage measures, including the Atlanta Fed Wage Growth Tracker and ADP Pay Insights, have continued to trend lower, albeit gradually (*Fig. 4*). This should help prevent a pickup in wage-sensitive supercore services inflation.

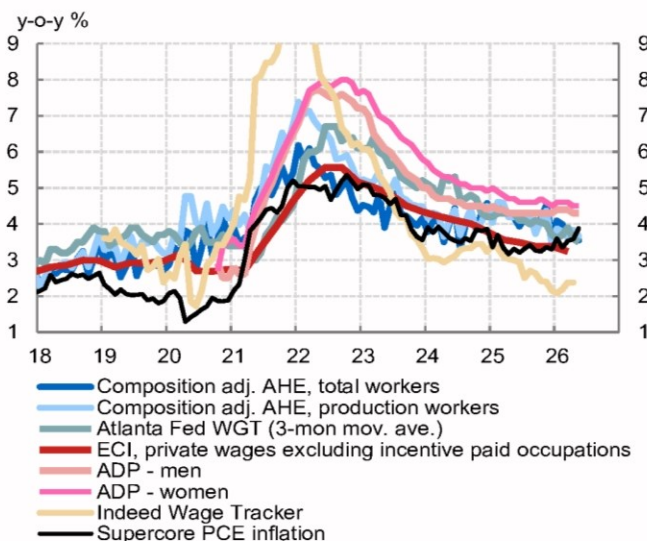
Fig. 3: Layoffs have remained subdued

Job loss rates



Source: BLS, Haver, Nomura

Fig. 4: Wage measures have continued to trend lower, albeit gradually



Source: BEA, BLS, Atlanta Fed, ADP, Indeed, Haver, Nomura

Warsh likely to echo his June FOMC comments at Sintra

We expect Chair Warsh will keep his cards close at the Sintra meeting, similar to the *post-FOMC press conference*, deflecting pointed questions by deferring to the five task forces currently being assembled. The more important signal will be how he frames recent developments in the Middle East and the decline in crude oil prices. Hawks on the Committee view elevated inflation as at risk of becoming entrenched, while doves attribute it to transitory factors such as energy prices and tariffs. If Warsh characterizes falling oil prices as an encouraging sign for the inflation outlook, that would signal a dovish lean. Moreover, it would be key if he mentions something about the labor markets since he did not elucidate his views much in the June press conference.

Post-FOMC Fedpeak reduces the likelihood of a July rate hike

NY Fed President Williams remained dovish in his prepared remarks, suggesting he remains comfortable with the current stance of monetary policy with which the Fed can bring inflation down to 2% on a sustained basis despite hawkish revisions to his economic outlook. Williams acknowledged that inflation remains "unquestionably elevated" and well above the FOMC's target. However, he still expects inflation to decline as tariff effects fade, energy and related goods prices stabilize, and shelter inflation eases. Chicago Fed President Goolsbee, a hawk, continued to express concerns over resilience of services inflation. Minneapolis Fed President Kashkari echoed concerns over sticky services inflation and revealed that he penciled in one rate hike for 2026 in his June dot plot (*Fig. 5*). Hawkish policymakers have emphasized the importance of composition of inflation, suggesting their recent hawkish pivot was not driven simply by temporary factors such as tariffs or higher energy prices. That said, Goolsbee said that one month data of inflation would be "no month," which suggests that the June inflation data are unlikely to lead to a rate hike at the July FOMC meeting. Despite his hawkish bias, Goolsbee seemed to support the Fed's wait-and-see mode for now.

Separately, in his public appearances earlier this week, Treasury Secretary Bessent

indicated further reduction in political pressures on easing monetary policy. He was fully confident in Warsh's leadership as Fed Chair and acknowledged that Warsh "came out tough talking about inflation." Moreover, he mentioned favorably of mid-cycle adjustments to the policy rate in early 1997 when former Fed Chair Greenspan engineered "one tap-on-the-brakes rate hike" that did not weigh on economic activities substantially. In the meantime, President Trump argued that lower interest rates would be needed to support housing markets. Overall, Bessent's relatively hawkish comment suggests that the White House is becoming neutral on the near-term monetary policy outlook.

We maintain our Fed call of no changes to the federal funds rate through the end of 2027.

Fig. 5: A majority of hawkish dots were likely submitted by non-voting regional Fed presidents

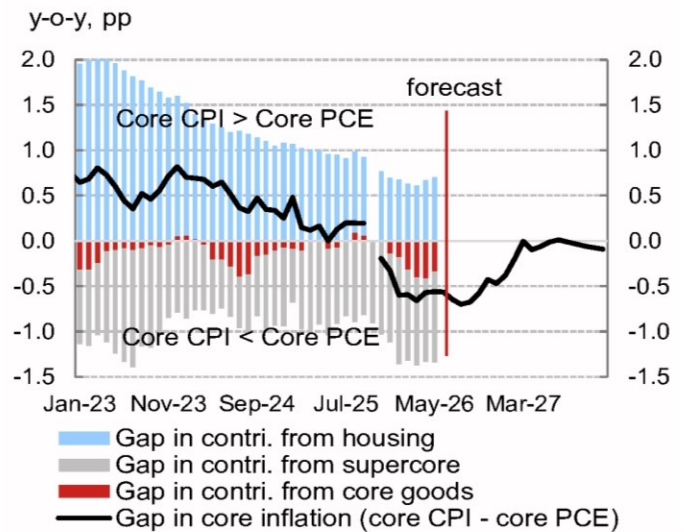
Nomura's guess: individual 2026 dots at the June FOMC meeting

%	2026 dots as of June			Voter '26
4.375	Logan	Three rate hikes	1	Y
4.125	Schmid	Two rate hikes	2	
4.125	Hammack	Two rate hikes	3	Y
4.125	Musalem	Two rate hikes	4	
4.125	Goolsbee	Two rate hikes	5	
4.125	Collins	Two rate hikes	6	
3.875	Barkin	One rate hike	7	
3.875	Kashkari	One rate hike	8	Y
3.875	Barr	One rate hike	9	Y
3.625	Venable	Unchanged	10	
3.625	Cook	Unchanged	11	Y
3.625	Waller	Unchanged	12	Y
3.625	Jefferson	Unchanged	13	Y
3.625	Powell	Unchanged	14	Y
3.625	Daly	Unchanged	15	
3.625	Paulson	Unchanged	16	Y
3.625	Williams	Unchanged	17	Y
3.375	Bowman	One more rate cut	18	Y

Source: FRB, Nomura

Fig. 6: The wedge between core PCE inflation and core CPI inflation could narrow after the BEA's methodological changes are implemented

Decomposition of the wedge in y-o-y core PCE inflation between the PCE price index and CPI



Source: BEA, BLS, Haver, Nomura

Core PCE inflation accelerated in May, driven by service components

Core PCE inflation rose 0.320% m-o-m in May from 0.250% m-o-m in April, boosted by service components derived from PPI data (e.g., healthcare services, financial services and airline fares). By contrast, *as we had expected*, core goods PCE inflation turned negative on a m-o-m basis for the first time since November 2025. This translates to y-o-y core PCE inflation on 3.412% in May, up from 3.319% in April.

PCE trimmed mean inflation picked up only modestly to 0.23% m-o-m in May from 0.20% in April. Its 12-month change ticked up to 2.41% in May from 2.34% in April. Given the strength in May core PCE inflation, the wedge in y-o-y inflation between the core PCE price index and trimmed-mean index remained large (100bp). We do not know whether Chair Warsh or the task force on the inflation framework will put a heavy weight on PCE trimmed-mean inflation. However, we think the wide divergence between core inflation and trimmed-mean inflation highlights the importance of how to gauge the underlying inflation trend. From the trimmed-mean inflation perspective, inflation has not accelerated much. Considering lower crude oil prices, waning impact from tariffs, and moderating wage growth, it seems reasonable for the *Fed to remain patient on rate hikes* and assess how inflation will evolve for some time.

Upcoming methodological changes to the PCE price index seems disinflationary

The BEA announced *future changes to its methodology* to estimate certain key PCE price components, including portfolio management and investment advice services, legal services, and computer software and accessories. The net impact from those changes has the potential to lower y-o-y core PCE inflation by 20-30bp, which has not been incorporated into our official inflation forecast yet. Those changes will take effect on 30 September 2026, along with annual revisions to the national account data. As a result, the degree of core PCE inflation's outperformance over core CPI inflation might become narrower (Fig. 6).

Growth momentum continues

Data released this week were overall positive, pointing to continued resilience in growth. Personal spending growth rose to 0.7% m-o-m in May following a 0.4% advance in April. Spending was robust across goods and services. Based on the PCE deflator, real personal spending grew 0.3% m-o-m in May, suggesting that consumption has remained resilient despite higher gasoline prices and Iran war-related uncertainty. Looking ahead, we expect lower gasoline prices to weigh on headline inflation, while relatively stable income growth should help keep consumption steady in the coming months.

Durable goods orders report also suggested continued and broad based strength in business investment. Excluding transportation, durable goods orders rose 1.3% m-o-m (Nomura and Consensus: 0.6%). Core capital goods orders (nondefense capital goods ex aircraft), a leading indicator for equipment investment, also remained strong.

Q2 GDP tracking

We have lowered our Q2 GDP tracking estimate to 2.4% q-o-q ar from **2.6% last week**. Our estimate for real final sales to private domestic purchasers remained unchanged at 2.8%. Data released were generally positive for domestic demand; however, Q1 GDP revisions and a sharp pick up in goods trade deficit in May, lowered our Q2 GDP tracking.

Fig. 7: Nomura's inflation forecasts

	Headline PCE		Core PCE				Headline CPI		Core CPI			CPI NSA Index
	m/m %	y/y %	m/m %	y/y %	qtrly, y/y %		m/m %	y/y %	m/m %	y/y %	qtrly, y/y %	
Jan-25	0.35	2.61	0.31	2.78			0.43	3.00	0.43	3.26		317.671
Feb-25	0.40	2.71	0.45	2.97			0.23	2.82	0.25	3.12		319.082
Mar-25	0.02	2.36	0.10	2.67	2.81		0.03	2.39	0.07	2.79	3.08	319.799
Apr-25	0.17	2.28	0.19	2.61			0.16	2.31	0.24	2.78		320.795
May-25	0.18	2.46	0.23	2.78			0.10	2.35	0.13	2.79		321.465
Jun-25	0.29	2.59	0.26	2.81	2.74		0.25	2.67	0.23	2.93	2.82	322.561
Jul-25	0.17	2.61	0.25	2.86			0.23	2.70	0.31	3.06		323.048
Aug-25	0.26	2.75	0.22	2.91			0.35	2.92	0.31	3.11		323.976
Sep-25	0.26	2.79	0.19	2.83	2.87		0.30	3.01	0.22	3.02	3.06	324.800
Oct-25	0.19	2.71	0.23	2.75			0.03	2.76	0.11	2.81		324.372
Nov-25	0.22	2.82	0.18	2.83			0.22	2.74	0.08	2.63		324.122
Dec-25	0.33	2.88	0.33	2.97	2.85		0.30	2.68	0.23	2.64	2.69	324.054
Jan-26	0.35	2.88	0.44	3.10			0.17	2.39	0.30	2.50		325.252
Feb-26	0.40	2.87	0.39	3.05			0.27	2.41	0.22	2.46		326.785
Mar-26	0.67	3.54	0.30	3.25	3.14		0.87	3.26	0.20	2.60	2.53	330.213
Apr-26	0.41	3.80	0.25	3.32			0.64	3.81	0.38	2.75		333.020
May-26	0.45	4.07	0.32	3.41			0.47	4.25	0.21	2.85		335.123
Jun-26	0.02	3.80	0.25	3.40	3.38		-0.08	3.88	0.26	2.85	2.81	335.065
Jul-26	0.12	3.75	0.21	3.36			0.05	3.70	0.22	2.75		335.015
Aug-26	0.18	3.67	0.20	3.34			0.20	3.54	0.22	2.66		335.439
Sep-26	0.20	3.60	0.20	3.35	3.35		0.24	3.46	0.22	2.66	2.69	336.041
Oct-26	0.14	3.55	0.22	3.34			0.12	3.54	0.22	2.77		335.861
Nov-26	0.21	3.54	0.21	3.37			0.24	3.54	0.22	2.91		335.600
Dec-26	0.25	3.45	0.21	3.25	3.32		0.30	3.51	0.22	2.90	2.86	335.430
Jan-27	0.20	3.30	0.25	3.05			0.19	3.54	0.27	2.87		336.765
Feb-27	0.12	3.01	0.20	2.86			0.06	3.34	0.20	2.85		337.696
Mar-27	0.21	2.55	0.20	2.76	2.89		0.21	2.70	0.20	2.85	2.86	339.123
Apr-27	0.17	2.30	0.20	2.71			0.14	2.17	0.19	2.66		340.258
May-27	0.17	2.01	0.20	2.59			0.14	1.82	0.19	2.65		341.230
Jun-27	0.16	2.15	0.20	2.53	2.61		0.13	2.05	0.19	2.57	2.63	341.918
Jul-27	0.18	2.21	0.19	2.52			0.19	2.18	0.19	2.54		342.316
Aug-27	0.20	2.23	0.19	2.50			0.20	2.19	0.18	2.50		342.779
Sep-27	0.22	2.25	0.19	2.48	2.50		0.23	2.19	0.18	2.47	2.50	343.388
Oct-27	0.14	2.25	0.19	2.45			0.12	2.19	0.18	2.43		343.211
Nov-27	0.21	2.25	0.18	2.43			0.23	2.18	0.18	2.38		342.932
Dec-27	0.24	2.25	0.18	2.40	2.43		0.29	2.18	0.18	2.34	2.38	342.758

Note: Oct and Nov CPI refers to Nomura's estimates.

Source: BLS, BEA, Haver, Nomura

Data Preview

The week ahead

We expect *nonfarm payrolls* slowed to 70k in June, while the unemployment rate likely remained unchanged at 4.3%.

JOLTS job openings (Tuesday): We expect JOLTS job openings fell to 7050k in May from 7618k in April. Our forecast suggests the V-U ratio ticked down to 0.96 from 1.03, while the job openings rate declined to 4.2% from 4.6% previously. Note, JOLTS data have been volatile lately, and the sharp rebound in JOLTS job openings in April was driven by an outsized increase and professional and business services job openings, which is inconsistent with alternative data sources such as Indeed.

Consumer confidence (Tuesday): We expect the Conference Board Consumer Confidence Index ticked up to 94.2 in June from 54.0 in May. High frequency data from Morning Consult and the SF Fed Daily News Sentiment Index suggest sentiment rose following the end of the Iran war.

ISM manufacturing (Wednesday): We expect the ISM Manufacturing Index ticked down to 53.7 in June from 54.0 in May, in line with regional surveys released so far. New orders and production remained resilient, while supplier delivery times likely improved modestly. Manufacturing employment likely remained in contractionary territory. Prices index likely ticked down but remained elevated compared with historical standards.

Vehicle sales (Wednesday): We expect the pace of vehicle sales remained essentially unchanged at 16.1mn in June. Higher dealer incentives and fiscal boost from the OBBBA have somewhat offset headwinds from Iran war-related uncertainty.

Jobless claims (Thursday): Initial claims fell this week, but remain well below the summer trends seen in the past couple of years. Continuing claims for the June NFP survey reference week rose. We expect claims are likely to remain subdued.

Employment report (Thursday): We expect *job gains slowed to 70k in June*. Lead indicators for the labor market have remained steady, but the fading impact of temporary factors that boosted hiring in May likely points to a softer June print.

The unemployment rate likely remained unchanged at 4.3%. Subdued layoffs have kept the u-rate stable, while a gradual improvement in labor demand could put some downward pressure on the unemployment rate in coming months. We expect the unemployment rate to decline to 4.1% by year-end.

We expect average hourly earnings growth slowed to 0.2% m-o-m, driven by a negative calendar effect. Lead indicators and alternative wage measures suggest wage pressures are easing, albeit gradually.

Fig. 8: Forecasts for economic indicators released during the week of 29 June

Monday 29 June		Units	Period	Prev 2	Prev 1	Last	Nomura	Consensus
No key indicators will be released								
Tuesday 30 June								
9.00	Case-Shiller composite-20	% m-o-m	Apr	0.2	-0.1	-0.2	n.a.	n.a.
9.00	Case-Shiller composite-20	% y-o-y	Apr	1.2	0.9	0.8	n.a.	n.a.
9.45	Chicago PMI	Index	Jun	52.8	49.2	62.7	n.a.	n.a.
10.00	JOLTS job openings	000s	May	6922	6887	7618	7050	7360
10.00	Consumer confidence	Index	Jun	92.2	93.8	93.1	94.2	94.6
Wednesday 1 July								
7.00	Mortgage applications	% w-o-w	26-Jun	10.8	-3.8	1.0	n.a.	n.a.
8.15	ADP private employment	000s	Jun	61	105	122	n.a.	120
9.45	S&P manufacturing PMI	Index	Jun-Fin	54.5	55.1	55.7	n.a.	n.a.
10.00	ISM manufacturing	Index	Jun	52.7	52.7	54.0	53.7	53.7
10.00	Construction spending	% m-o-m	May	-0.8	0.2	0.4	n.a.	n.a.
	Total vehicle sales	mn saar	Jun	16.3	15.9	16.1	16.1	n.a.
Thursday 2 July								
8.30	Initial jobless claims	000s	27-Jun	230	227	215	n.a.	n.a.
8.30	Continuing jobless claims	000s	20-Jun	1786	1800	1821	n.a.	n.a.
8.30	Nonfarm payrolls	000s	Jun	214	179	172	70	135
8.30	Private payrolls	000s	Jun	202	177	120	70	123
8.30	Unemployment rate	%	Jun	4.3	4.3	4.3	4.3	4.3
8.30	Average hourly earnings	% m-o-m	Jun	0.2	0.2	0.3	0.2	0.3
8.30	Average weekly hours	Level	Jun	34.2	34.3	34.3	34.3	34.3
Friday 3 July								
Independence Day - Markets Closed								

Note: Eastern Daylight Time (EDT). All Nomura forecasts are modal.

Source: Haver, Bloomberg, Nomura

US Economic Outlook

We expect the Fed to stay on hold indefinitely due to diminished political pressure, elevated inflation, and hawkish Fedspeak.

Economic activity: Growth momentum has accelerated, supported by easing tariff uncertainty, fiscal stimulus from the One Big Beautiful Bill Act, and the lagged impact of Fed rate cuts amid easy financial conditions. *Business investment appears to be broadening beyond the AI sector*. Higher tax refunds and strong payroll income growth have supported consumer spending thus far, despite headwinds from the Iran war. A broad range of indicators point to resilience and tentative signs of reacceleration in the labor market. We expect the unemployment rate will decline, reaching 4.1% by year-end. We think that the US economy remains relatively insulated from *the crude oil price shock due to the Iran war* given the small share of energy-goods consumption in household spending, as well as domestic energy production.

Inflation: Core inflation remains well above the Fed's 2% target, and we believe risks are skewed to the upside. We forecast Q4 2026 core PCE inflation of 3.3% y-o-y. We expect tariff price pressures will diminish in the coming quarters. However, this will likely be offset by new price pressures driven by supply shortages caused by AI (memory chips, electricity, etc.) along with spillovers from higher energy prices. Wage growth seems to have moderated gradually, but remains higher than the level consistent with the Fed's 2% inflation goal, which is likely to lead to stickiness in supercore service inflation. We expect rent disinflation to continue, but at a very gradual pace.

Policy: *We expect the Fed to remain on hold indefinitely*. Fed Chair Warsh likely remains motivated to ease policy, but recent elevated inflation readings and hawkish Fedspeak suggest he may not be able to convince the majority of the Fed to support rate cuts. Moreover, support among Fed officials for an easing bias has begun to wane. While hikes appear unlikely in the near term, the Fed's hesitance to respond to tentative signs of inflation pressure raises the risk that they may end up "behind the curve," needing to hike quickly to re-establish credibility. The balance of risks is tilted towards tightening at this moment. On tariffs, wider Section 122 exemptions, lower tariff rates, and a greater focus on affordability suggest *limited further escalation* in US trade policy.

Risks: Further escalation of geopolitical risks could lead to a tightening of financial conditions and worsening of the fiscal outlook. Increased political pressures on individual FOMC participants could undermine the Fed's credibility, soliciting sharp market reactions. A bust of the AI boom could lead to material corrections in asset valuations. A continued shortage of memory chips and supply chain disruption due to a protracted Iran war could lead to a second round of goods price increases.

Fig. 9: United States: Details of the forecast

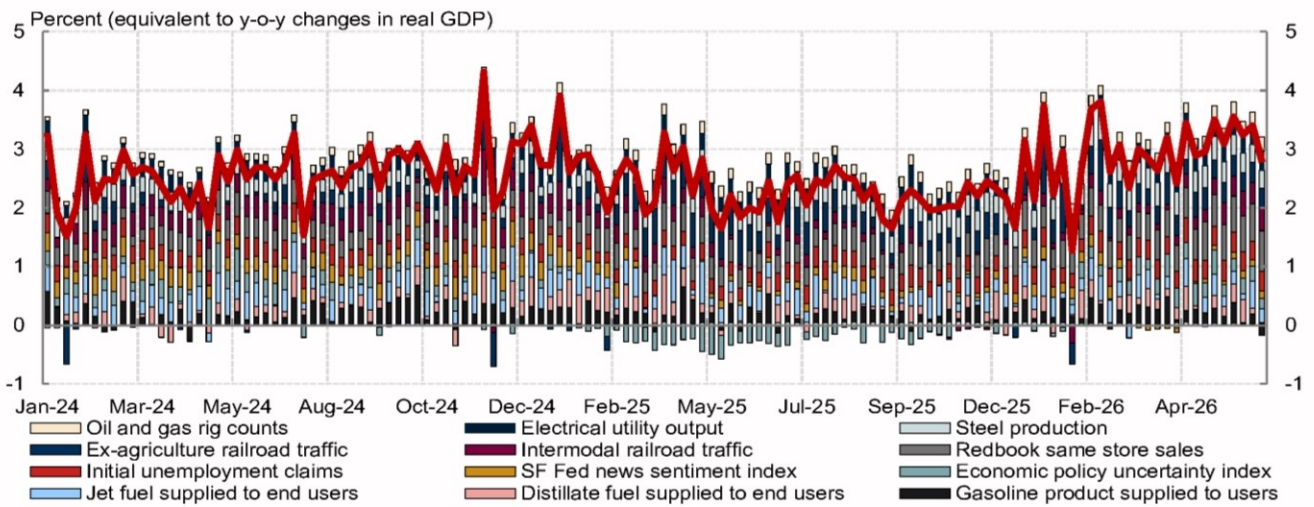
%		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	% y-o-y			% Q4/Q4		
														2025	2026	2027	2025	2026	2027
	q-o-q																		
Real GDP	(%, a.r.)	-0.6	3.8	4.4	0.5	2.1	2.7	2.1	1.9	1.9	1.9	1.6	1.6	2.1	2.3	1.9	2.0	2.2	1.8
	(%)	-0.2	0.9	1.1	0.1	0.5	0.7	0.5	0.5	0.5	0.5	0.4	0.4						
Personal consumption	(%, a.r.)	0.6	2.5	3.5	1.9	0.5	1.7	1.9	1.8	1.7	1.7	1.5	1.5	2.6	1.7	1.7	2.1	1.5	1.8
Nonresidential fixed invest	(%, a.r.)	9.5	7.3	3.2	2.4	10.6	9.9	4.5	3.6	3.4	3.1	2.5	2.5	4.1	6.5	3.7	5.6	7.1	5.3
Residential fixed invest	(%, a.r.)	-1.0	-5.1	-7.1	-1.7	-7.8	2.5	3.2	3.0	2.8	2.8	2.5	2.5	-2.2	-2.5	2.8	-3.8	0.1	2.9
Government expenditure	(%, a.r.)	-1.0	-0.1	2.2	-5.6	4.4	3.2	0.9	0.9	0.9	0.9	0.9	0.9	1.1	1.0	1.1	-1.2	2.4	1.5
Exports	(%, a.r.)	0.2	-1.8	9.6	-3.2	10.9	6.3	2.3	2.3	2.3	2.3	2.2	2.1	1.6	4.7	2.5	1.1	5.4	3.3
Imports	(%, a.r.)	38.0	-29.3	-4.4	-1.0	11.8	15.2	3.5	3.3	2.8	2.5	2.3	2.0	2.7	3.2	3.5	-1.9	8.3	6.1
Contributions to GDP:																			
Final sales	(pp., a.r.)	-3.2	7.3	4.5	0.3	1.9	1.9	2.0	1.8	1.8	1.8	1.6	1.6	2.2	2.3	1.8	2.1	1.9	1.7
Net trade	(pp., a.r.)	-4.7	4.8	1.6	-0.2	-0.4	-1.3	-0.2	-0.2	-0.1	-0.1	-0.1	0.0	-0.2	0.1	-0.2	0.4	-0.5	-0.1
Inventories	(pp., a.r.)	2.6	-3.4	-0.1	0.1	0.2	0.8	0.2	0.1	0.1	0.1	0.1	0.0	-0.1	0.0	0.2	-0.1	0.3	0.1
	As noted																		
Unemployment rate	(%)	4.1	4.2	4.3	4.5	4.3	4.3	4.2	4.1	4.0	3.9	3.9	3.9	4.3	4.2	3.9			
Nonfarm payrolls	(000s)	20	34	23	-39	68	75	90	120	100	90	90	90	10	88	90			
Housing starts	(000s, a.r.)	1401	1354	1346	1323	1419	1410	1430	1420	1400	1390	1390	1380	1356	1420	1390			
Consumer prices	(%, y-o-y)	2.7	2.5	2.9	2.7	2.7	3.9	3.5	3.4	3.1	1.9	2.1	2.1	2.7	3.4	2.3			
Core CPI	(%, y-o-y)	3.1	2.8	3.1	2.7	2.5	2.8	2.7	2.9	2.9	2.6	2.5	2.4	2.9	2.7	2.6			
PCE Deflator	(%, y-o-y)	2.6	2.4	2.7	2.8	3.1	3.9	3.7	3.5	3.0	2.2	2.2	2.2	2.6	3.6	2.4			
Core PCE	(%, y-o-y)	2.8	2.7	2.9	2.9	3.1	3.4	3.3	3.3	2.9	2.6	2.5	2.4	2.8	3.3	2.6			
Federal budget	(% GDP)													-5.8	-6.4	-6.4			
Current account balance	(% GDP)													-3.7	-3.4	-3.2			
Fed securities portfolio	(\$trn)	6.32	6.24	6.19	6.15	6.27	6.36	6.42	6.48	6.54	6.60	6.66	6.72	6.15	6.48	6.72			
Fed funds target midpoint	(%)	4.375	4.375	4.125	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625			
TSY 2-year note	(%)	3.89	3.72	3.60	3.47	3.79	4.15	4.15	4.10	4.10	4.05	4.00	3.95	3.47	4.10	3.95			
TSY 5-year note	(%)	3.96	3.79	3.74	3.73	3.92	4.30	4.30	4.25	4.25	4.25	4.20	4.20	3.73	4.25	4.20			
TSY 10-year note	(%)	4.23	4.24	4.16	4.18	4.30	4.60	4.60	4.60	4.60	4.60	4.55	4.50	4.18	4.60	4.50			

Note: The unemployment rate is a quarterly average as a percentage of the labor force. Nonfarm payrolls are average monthly changes during the period. Inflation measures and calendar year GDP are year-over-year percent changes. The Fed securities portfolio is end-of-period. The annual interest rate forecasts are end-of-period. Housing starts are period averages. Numbers in bold are actual values. Table reflects data available as of 26 June 2026. All Nomura forecasts are modal

Source: BEA, BLS, Census Bureau, FRB, Haver, Nomura

Week in Review

Fig. 10: Weekly data tracker and its decomposition



Note: We estimate a latent factor that contributes the most to the total variance of 13 daily and weekly US indicators covering industrial and consumer sectors via principal component analysis (i.e., the first principal component). We calibrate this factor to track four-quarter changes in real GDP.

Source: AAR, Baker Hughes, DOL, EIA, EEI, MBA, PolicyUncertainty, Redbook Research, SF Fed, Haver Analytics, Nomura

Economic Insights - US: June Employment Preview

Fig. 11: Economic Data Calendar

	Mon 29 June	Tue 30 June	Wed 1 July	Thu 2 July	Fri 3 July
North America	US No key indicators released	US JOLTS job openings (May) 000s 7618, 7050, 7360	US ISM manufacturing (Jun) Index 54.0, 53.7, 53.7	US Nonfarm payrolls (Jun) 000s 172, 70, 135	US Independence Day Markets closed
		US Consumer confidence (Jun) Index 93.1, 94.2, 94.6	US Total vehicle sales (Jun) mn saar 16.1, 16.1, n.a.	US Unemployment rate (Jun) % 4.3, 4.3, 4.3	
				US Average hourly earnings (Jun) %m-o-m 0.3, 0.2, 0.3	
Europe (ex-UK)	SPA HICP (Jun P) % y-o-y 3.6, 3.3, n.a.	GER HICP (Jun P) % y-o-y 2.7, 2.6, n.a.	EUR HICP (Jun P) % y-o-y 3.2, 3.1, n.a.	SWI CPI (Jun) % y-o-y 0.6, 0.5, n.a.	FRA Industrial product. (May) % m-o-m 0.1, -0.4, n.a.
	ECB M3 money supply (May) % y-o-y 2.7, n.a., n.a.	FRA HICP (Jun P) % y-o-y 2.8, 2.8, n.a.	EUR Core HICP (Jun P) % y-o-y 2.6, 2.7, n.a.	SWI CPI Core (Jun) % y-o-y 0.3, 0.3, n.a.	SWE PMI Composite (Jun) Index 54.9, n.a., n.a.
	EUR Econ. conf. (Jun) Index 93.5, n.a., n.a.	ITA HICP (Jun P) % y-o-y 3.2, 3.5, n.a.	Warsh, Lagarde, Bailey in Sintra	EUR Unemp-rate (May) % 6.3, 6.3, n.a.	ITA PMI Composite (Jun) Index 50.4, n.a., n.a.
	ECB's Lagarde in Sintra	GER Unempl. chg (Jun) k -12, 5, n.a. GER Unempl. claim rate (Jun) % 6.3, 6.3, n.a.	SWE SPMI Manufacturing (Jun) Index 57.3, n.a., n.a.	ITA Unemp-rate (May) % 5.1, n.a., n.a.	SPA PMI Composite (Jun) Index 50.2, n.a., n.a.
United Kingdom	Mortgage Lending (May) GBP bn 4.4, 4.2, n.a.	BRC Shop Price (Jun) % y-o-y 1.2, 0.9, n.a.			DMP 3M Output Px Expect. (Jun) % y-o-y 4.0, n.a., n.a.
	Mortgage Approvals (May) k 65.9, 64.0, n.a.	Lloyds Biz Barom. (Jun) Index 47.0, n.a., n.a.			
	Net Consumer Credit (May) GBP bn 1.9, 1.7, n.a.				
CEEMEA		Hungary PPI (May) %y-o-y 0.3, n.a., n.a.	Türkiye Manufacturing PMI (June) Index 49.8, n.a., n.a.		Türkiye CPI (June) %y-o-y 32.6, 32.0, n.a.
		Czech R. GDP (1Q F) %y-o-y 2.2, n.a., n.a.	Poland Manufacturing PMI (June) Index 49.4, n.a., n.a.		Türkiye CPI Core (June) %y-o-y 30.4, 30.2, n.a.
		Türkiye Unemployment rate (May) % 8.2, n.a., n.a.	Hungary Manufacturing PMI (June) Index 50.2, n.a., n.a.		Türkiye PPI (June) %y-o-y 28.4, 28.9, n.a.
		Türkiye Trade Balance (May) USDbn -8.5, -5.6, n.a.	Czech R. Manufacturing PMI (June) Index 52.2, n.a., n.a.		S. Africa PMI (June) Index 49.6, n.a, n.a
		Poland CPI (Jun P) %y-o-y 3.1, n.a., n.a.			
		S. Africa Budget balance (May) ZARbn -63.6, n.a., n.a.			
Japan	Retail sales (May) % y-o-y 2.8, 4.2, n.a.	Industrial production (May) % m-o-m 0.5, 1.1, n.a.	Business Conditions in TANKAN (Jun) Index 17, 14, n.a.	TANKAN (Jun) (Comprehensive Data Set)	
		Unemployment rate (May) % 2.5, 2.5, n.a.	Consumer confidence index (Jun) Index 33.6, n.a., n.a.		
		Housing starts (May) % y-o-y 11.4, 35.8, n.a.			
Asia ex-Japan	India Industrial production (May) % y-o-y 4.9, 4.1, 3.9	S. Korea Industrial production (May) % y-o-y 1.5, 0.4, 4.0	S. Korea Exports (Jun) % y-o-y 53.4, 61.7, 60.6	S. Korea CPI (Jun) % y-o-y 3.1, 3.2, 3.2	
		Philippines Exports (May) % y-o-y 6.3, 7.9, 5.1	China RatingDog manufacturing PMI (Jun) Index 51.8, 51.5, 52.0		
		China Official manufacturing PMI (Jun) Index 50.0, 49.8, 50.1	Indonesia CPI (Jun) % y-o-y 3.08, 3.43, 3.17		
		Thailand Manufacturing production (May) % y-o-y -0.4, 0.9, n.a.	Indonesia Exports (May) % y-o-y 21.98, 16.25, 6.40		
		Thailand Current account balance (May) USD bn -7.6, -5.9, n.a.			

Source: Bloomberg, Reuters, Nomura Global Economics.

Appendix A-1

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